
THE CHALLENGE OF USING CROSS-FUNCTIONAL TEAMS

During a visit to a major company, you find yourself standing by Brad and Laura, who both work for the same company but in different divisions. You notice they are talking about the use of cross-functional teams in supply management, a topic of great interest to you.

Laura: So, Brad, how's life on your cross-functional team?

Brad: Funny you should ask. Something I heard about supplier involvement in a seminar I attended had me thinking about an interesting meeting our team had last week. We were talking about a design issue and had to keep calling a supplier about some technical questions. Finally, someone said it would be much simpler if we were face to face with the supplier during the meeting. We all just looked at each other and thought about it for a minute. I could almost hear the wheels spinning in each member's head. You know what happened next?

Laura: What?

Brad: Our team leader spoke up and said No way! Bringing the supplier into team meetings would expose us to too much risk. He said it would be like playing poker while showing all your cards to the other players. End of discussion—the decision was made.

Laura: So much for that idea. Speaking of decisions, we had a situation last week where our team made an important supplier selection decision. I think our team really agreed about what course of action we should take. When we presented our decision to the purchasing director, he didn't look too pleased. We found out later that word came down to the team leader to make sure we selected the runner-up supplier. I think our team is starting to wonder about our ability to make the best decision.

Brad: Why do you think your director wasn't pleased with the team's decision?

Laura: The runner-up is the existing supplier. I think our director is nervous because our team made a decision last year to switch suppliers on a major contract, which didn't go over well with the plant buyers.

Brad: Why is that?

Laura: Well, our team members are all corporate personnel. I think the plant people were comfortable with the previous supplier. The first time we had a performance problem with the new supplier, the plant people were telling *us* to fix it, since it was our supplier and not theirs. Now any problem that occurs is our fault. A couple of the plant buyers got rude about it. They said we make the big bucks so why don't we earn them?

Brad: What do they want? It sounds like your team has taken some work burden from them. Now they can focus on the things that will really improve their local operations. Some people are never happy.

Laura: I guess so. Help me on something else. How often does your team meet?

Brad: I'd like to say often enough but I am not sure that's the case. We don't seem to have the intensity, time, or enthusiasm that we had when we started a year and a half ago. We used to meet monthly, then it became every other month, now it's quarterly. Maybe it is because some of our members have to fly in to meet with the team. A one-day team meeting is taking two or three days for them. I also heard they are getting some pressure from their managers about travel expenses. Even the members located at headquarters don't seem committed like they were before. We also have a large team—ten members. I have enough trouble coordinating the activities of two people, much less ten. We might actually have too many members on this team.

Laura: Jim Eckert has the opposite problem. He was telling me his team only has three members. He said there are times when team activities completely overwhelm him.

Brad: Hey, I'll send him a few of our members. This may seem strange, but I really don't know some of the members on our team all that well. They all seem nice enough. I keep waiting for that spark to ignite within the team where we come together and create that synergy between members. At least that's what those high-priced consultants tell us is supposed to happen. Does your team have that spark?

Laura: Oh, yeah. But instead of a spark it is more like an explosion. We had a meeting the other day where the marketing rep and the finance rep really got into it. They said some nasty things to each other. It was uncomfortable for the rest of us sitting in the meeting.

Brad: What did your team leader do while all this was going on?

Laura: She just sat there and let it go. Sometimes I wonder what qualified her to be a team leader. She surely hasn't had any training in how to be an effective leader. I guess executive management believes that anyone can be a team leader. I'm not sure the members who were in that argument will ever work well together again. What's worse, it seems like the team is now taking up sides about who was right and who was wrong.

Brad: By the way, what qualified us to be team members? I sure didn't get any special training, even though teaming is a lot different than the old way we did business.

Laura: Speak for yourself. I know how to work on a team . . . don't I play on the company softball team? There's my team training!

Brad: I've seen you play. I hope your performance on your supply team is better than your performance on the field.

Laura: You're amusing.

Brad: When I look at how we use teams, sometimes the cynic in me says we are making the same decisions individuals used to make, but now we do it as a group. It's hard to tell how well we are performing. We don't seem to be particularly innovative as a group.

Laura: Don't you get a review that tells you how well your team is performing?

- Brad:** Maybe we would if we had some measurable goals. When it comes to performance reviews, half the team doesn't even have team participation listed as part of their performance evaluation. The other half has a small acknowledgment. I'm afraid not acknowledging the time it takes to support our team really discourages some members from committing the time. And the members who do get a review for team participation get one from their functional managers.
- Laura:** What's wrong with that?
- Brad:** Hey, I'm no brain surgeon, but even I know that the functional managers really don't know about what goes on in this team. How can they possibly know? Why should they know? It's not their business. And when they do give reviews, they perceive things differently. Last quarter, two of our members put forth a great effort on a project. But their managers gave them a different performance rating for the same effort! It has begun to put them in competition with each other. Some of the members spend a good part of their time trying to convince their manager what a great job they are doing individually on the team. So, how are we doing as a team? Who knows?
- Laura:** You want to hear a good story?
- Brad:** Always do.
- Laura:** Two weeks ago we were having a team meeting when Todd, our engineering rep, received a message on his beeper. He got up to return the call and a few minutes later came back in the room with a strange look on his face. He explained to the group that his manager just called and told him to get back to engineering fast because—and I quote—he was “needed there to do some real work.”
- Brad:** Is that funny or is that sad? Maybe that manager still thinks that supply management is only purchasing's responsibility.
- Laura:** Yeah, and I think the other engineering rep came to the team because his manager wanted to get him out of his work area. He is so incompetent that we spend a good part of our time together just trying to bring him up to speed. I have to admit that teaming sometimes frustrates me.
- Brad:** What ever happened to the good old days?

Assignment

1. Your “new” CPO and your boss believes in using Cross Function Teams in the business. He first asks you to outline the benefits and potential drawbacks of using CFTs.
2. He is aware of your knowledge of Brad and Laura's conversation of issues that are currently affecting the quality of interaction and performance of the current CFTs. He asked to list the top five issues and concerns and what you would recommend what needs to be done to correct these deficiencies.